

Employment & Skill Development — Highlighted Points

Source: Sarrthi IAS MMP+ GS3 Module Ch.12 | Only highlighted/marked content

1. Demographics & Skilling Landscape

- Structural transformation driven by digitalisation, green energy transition, and emerging gig and platform work
- Working-age population (15-59) expected to exceed 98 crore in next 10 years
- Demographic dividend expected to peak around 2030 — nearly 65% in 15-59 bracket

2. Longevity Dividend & Silver Economy

What is Longevity Dividend?

- Economic and social gains that arise when people live longer, healthier and more productive lives
- Older persons can contribute as workers, consumers, mentors, caregivers and community participants

Harnessing for Silver Economy

- Preventive healthcare + management of non-communicable diseases (NCDs)
- Eg: Ayushman Arogya Mandirs — comprehensive primary + elderly and palliative healthcare
- Flexible jobs and second-career opportunities
- Eg: SACRED Portal — Senior Able Citizens for Re-Employment in Dignity
- Reskilling: digital literacy and financial literacy
- Eg: PMGDISHA
- Demand for trained caregivers, geriatric care, assisted living
- Eg: PM Special training of Geriatric Care Givers
- Older adults create demand for assistive devices
- Eg: Rashtriya Vayoshri Yojana — assisted-living devices to eligible senior citizens
- Eg: Atal Vayo Abhyuday Yojana (AVYAY) — shelter, food, medical care and entertainment

Case Study: Telangana Silver Economy

- Telangana → global leader via ElderX [tech platform] to serve 150 million seniors across 30 countries

Challenges

- Rising non-communicable diseases
- Lack of geriatric hospitals, trained caregivers
- Rigid retirement norms, age bias, weak second-career platforms
- Digital illiteracy

Way Forward

- Biomedical research and preventive healthcare
- Lifelong learning ecosystems
- Age-friendly work arrangements
- Targeted programmes for informal and unorganised workers

3. Employment Overview

- ASI: 6% YoY increase in FY24, adding over 10 lakh jobs
- QBUSE: 7.9 crore establishments employing 12.9 crore individuals
- Agriculture employs 42.4% of total workforce
- 59.1% female workforce in agriculture; males dominate Tertiary/Services (36.7%) and Secondary/Industry (28.5%)

4. Gender & Employment

Female Employment Patterns

- Women concentrated in informal and self-employed roles
- Rural women: 'own account workers/employers' (37.5%) or 'helpers in household enterprises' (34.2%)
- Only 10.8% of rural women in regular wage jobs
- Women need critical flexibility due to limited urban mobility and lack of affordable housing/childcare

Time Use Survey (TUS) 2024 TIME POVERTY, MOTHERHOOD PENALTY, PINK TAX

- Females: 363 min/day on unpaid activities vs males 123 min
- Males: paid activities 414 min vs females 302 min
- 2024: 75% males and 25% females in employment activity (up from 70.9% / 21.8% in 2019)
- Women: caregiving 140 min/day vs men 74 min
- Unpaid domestic/care work alongside economic roles = "dual burden"

5. Care Economy

- Care sector can generate 475 million jobs globally by 2030 (ILO)
- 2% of GDP investment → 11 million jobs, 70% to women
- By 2050: India needs to care for 64.7 crore persons (incl. 30 crore children + 34.7 crore elderly)
- Women face time poverty — spend 5.6 hours/day on unpaid work vs men 30 min
- Motherhood penalty — pushes women into informal jobs or out of labour force
- Unpaid care work valued at 15-17% of GDP

Key Interventions

- Expand childcare and creche infra: Revamped Palna Scheme, Anganwadi-Cum-Creche initiative
- Case Study Mexico: created 45,000 paid positions for caregivers
- Enhance female paid employment
- Create Sector Skill Council for Care Services + standardised skilling modules
- Public-Private Partnerships for mobile creches
- Support care start-ups via Start-up India and Self-Help Groups
- Quality monitoring: UK's OFSTED model

- Elderly care: in-situ ageing, geriatric infra
- Community-led: Jeevika in Bihar

6. Enhancing Female LFPR

State-Level Best Practices

- 17 states/UTs removed prohibitions on women in 'hazardous' industries; 22 states/UTs permit night work (incl. Uttar Pradesh)
- Tamil Nadu's 'Thozhi Hostels' — working women's hostels equipped with creches
- Telangana's WE-Hub | Kerala's Kudumbashree | Maharashtra's Mahila Arthik Vikas Mahamandal
- Target: Viksit Bharat 2047 — female participation to 55% by 2050

Strategic Interventions LFPR tree diagram

- STEM: women only 43% enrollment in 2021-22
- "Pink Tax" on Urban Mobility: 31% women see commuting as barrier; 13% cite childcare, 19% cite domestic duties
- Eg: Kochi's Women Police Control Room, NCRTC's 21-day structured course
- Gender-responsive infrastructure: safe crossings, adequate lighting, emergency buttons in vehicles
- Eg: Bhubaneswar's Janpath Street
- Affordable Housing: Sakhi Niwas scheme
- Skilling: 'Back to Work' and 'Returnship programmes'
- Integrating SHGs with MSME ecosystem
- Labour Codes: Sec 59(5) CSS (work from home), Sec 60 (maternity), Sec 67 (creches), Sec 3 Code on Wages (equal wages)
- Behavioral Change & Social Campaigns

7. Unorganised Workforce

- Code on Social Security, 2020 (CSS) defines unorganised workers
- eShram Portal = National Database of Unorganised Workers
- Registered over 31 crore workers; women = 54%
- UAN linked to Aadhaar → portability of 18 integrated welfare schemes
- National Career Service (NCS): employment-matching platform
- NCS links with SIDH, EPFO, ESIC, eShram, eMigrate
- 5.9 crore job seekers and 53 lakh job providers

8. Manufacturing Sector

- Small factories (<100 emp): 77% of factories but only 21% of workforce
- Large factories: 22% of factories but 79% of workforce
- Large factory employment CAGR 6% vs 2% in smaller units
- Large factories increased by 97% in last decade vs 26% for smaller
- 7 states = 60% of manufacturing employment  60% in 7 states

- TN (15%), Gujarat (13%), Maharashtra (13%), UP (8%), Karnataka (6%), Haryana (6%), Telangana (5%)
- Manufacturing = 11.4% of total employment (1.9 crore organised + 3.3 crore unorganised)

9. Worker Well-Being Framework

- Quality of working conditions matters, not just hours — esp. for migrant workers

Tri-Dimensional Framework

- **Financial:** Earned Wage Access (EWA) — reduced high-interest informal borrowings + 20% decline in forgoing essentials
- **Mental:** Buddy System for migrant women workers — 5.3% ↓ anxiety, 5.9% ↓ depression, productivity ↑ 6.4% (new) and 12% (senior buddies)
- **Physical:** Sexual and Reproductive Health (SRH) training at workplace — empowered women, ↑ reporting of harassment

10. New Labour Codes

Core Features

- Consolidates 29 central laws into 4 codes
- Formal recognition for gig workers, mandatory appointment letters, social security for migrant workers, equal benefits for fixed-term and contract workers, minimum wage, national floor wage
- Flexibility for employers + regulation and protection for workers
- Single pan-India registration/license/return
- 'Inspector-cum-Facilitator' replaces Inspector

Case Study: Uttar Pradesh

- Women allowed in all 29 hazardous sectors + night shifts
- Safeguards: CCTV surveillance, security personnel
- Double wages for overtime; quarterly cap raised to 144 hours

Impact Table (Highlighted)

Dimension	Key Highlighted Data
Women	Equal wages (Sec 3), creches (Sec 67 CSS), work from home (Sec 59(5) CSS), maternity (Sec 60 CSS) → FLFPR to 33.7%
Formalisation	Mandating appointment letters, Fixed-Term Employment (FTE); formalisation 60.4% → 75.5%
Dwarfism	Curbing 'Voluntary Dwarfism' — higher thresholds for layoff/retrenchment/closure; costs ↓ 30-40% for SMEs
Social Security	CSS: aggregators pay 1-2% of annual turnover → cover 2.35 crore workers by 2030; UAN for portability
Growth	1.25% to GDP by 2029-30; ~77 lakh jobs; UR ↓ 0.3-1.3%; ₹75,000 crore into aggregate consumption

11. Gig Economy

Scale

- Gig workers: 77 lakh (FY21) → 120 lakh (FY25) = 55% rise
- Now over 2% of India's total workforce

- Projected: 6.7% of workforce by 2029-30

Definitions

- ILO**: self-employed/independent contractors via online platforms, paid per task
- Code on Social Security, 2020**: person outside traditional employer-employee relationship; aggregators = digital intermediaries

Factors Behind Rise

- Cost efficiency, outsourcing and flexible hiring
- Smartphones (80 crore users), digital payments (15 billion UPI transactions/month)
- Consumer demand for fast, cheap and on-demand services
- Workers seek supplementary income, flexible timing or entry into labour market

Challenges

- 40% earn below ₹15,000/month
- No insurance, pension, paid leave, accident cover, maternity benefits
- Algorithmic control — invisible rules on ratings/income
- Thin-file credit problem — irregular income blocks formal loans
- Limited skilling + fear of AI and Machine Learning replacement
- Defined as one broad group but reality differs: NITI Aayog projects by 2030 — high-skilled 27.5%, low-skilled 33.8%
- McKinsey: Policy aim → move (iii) Reluctants + (iv) Financially strapped → (i) Free agents + (ii) Casual earners = **"Make gig work a choice, not a necessity"**

Measures

- Social Security Fund for gig/platform workers
- National Social Security Board
- e-Shram portal (launched 26 Aug 2021) — Universal Account Number
- e-Shram One-Stop Solution: 21 Oct 2024
- Aggregator module: 12 Dec 2024; 12 major aggregators onboarded
- Budget 2025-26: e-Shram registration + Ayushman Bharat-PMJAY health coverage for platform workers
- Data mapping, verification and information exchange between e-Shram and AB-PMJAY
- 5.12 lakh platform workers registered by 1 Dec 2025

Way Forward

- Algorithmic transparency, data access, competition rules, grievance redressal
- PLFS should identify gig workers separately
- Financial literacy + flexible credit/insurance products
- Minimum per-hour/per-task earnings; compensation for waiting time
- Portable social security via e-Shram + identity cards + UAN

Global Best Practices

- Spain — Rider Law, 2021: riders = employees, not contractors
- EU — Platform Workers' Directive, 2024: correcting misclassification, regulating algorithmic decision-making
- ILO, 2025: global standards for decent work in platform economy

12. Skill Ecosystem

Current Situation

- Training must create market-valued, job-linked and sustainable skills
- Training coverage: 8.1% (2017-18) → 34.7% (2023-24)
- Formal skilling: only 4.9% of youth 15-29 got formal vocational training
- PARAKH 2024: only 47% of schools offer skill courses at Grade IX+; participation 29%
- 12 percentage-point rise in skilled workforce → employment ↑ over 13% by 2030
- Focus shift:  Output Vs Outcome

Challenges (All Highlighted)

- Supply-driven skilling — chases enrolment, numbers, certification
- Weak foundation: gaps in literacy, numeracy, digital ability, soft skills
- Industry mismatch: gap between course completion and job readiness
- Limited employer ownership in curriculum design, apprenticeships, assessment
- Poor placement and retention support
- Weak TVET: outdated curricula, inadequately trained instructors, infrastructure gaps
- Low employability despite certification: youth employability = 56.3%
- Low social status — vocational work seen as low-status, low-paying
- Financing constraints
- Fragmented governance: multiple ministries

13. Skilling Measures & Schemes

Scheme	Key Highlighted Detail
PMKVY 4.0	NSQF-aligned job roles; focus: digital, healthcare, green energy, agri, financial services, e-commerce
PM Vishwakarma	18 traditional trades; 30 lakh registered, 23.09 lakh trained
ITI / PM SETU	200 hub ITIs + 800 spoke ITIs
Future-skills	169 NSQF trades incl. 31 future-skills courses (AI, IoT, renewable energy, 3D printing)
National Credit Framework	Credit transfer across academic, vocational, work-based learning
SWAYAM Plus	Industry-aligned digital courses: AI, data analytics, robotics

Financing Mechanisms

- **NAPS 2.0**: govt transfers 25% of stipend directly to apprentices via DBT; ₹1,110.64 crore released by 31 Oct 2025
- **Model Skill Loan Scheme, 2024** — increased loan limits
- **Skill Impact Bond** — payment linked to placement and retention outcomes
- **Skill vouchers**: demand-side financing; learner chooses provider; payment linked to **course completion, certification, placement**
- Maharashtra's **Vikalp Skill Voucher Programme** → 60% job retention

14. Fixing Skilling — Key Reforms

- Shift incentives to **outcomes** (not enrolment)
- Make employers core partners in curriculum design, workplace exposure, assessment
- Use local labour-market intelligence: district-level vacancies, investment pipelines, migration corridors, sectoral shifts
- Professionalise placement services: aptitude counselling, wage expectation-setting, verified interviews, mobility support, post-placement follow-up
- Strengthen credibility of certification
- Upgrade ITIs as credible skill institutions
- **Whole-of-Government Coordination**: **Horizontal** (ministries) + **Vertical** (centre-state-district)
- Link financing to **employment quality**
- Digital Public Infra: Skill-Employment Data Loop — SIDH, NCS, e-Shram, EPFO, ESIC, APAAR, PM Vishwakarma

15. Best Practices in Skilling

Odisha — "Skill in Odisha" (Fix, Scale, Accelerate)

- Fix ITIs: **10-6-4-2 formula** (10 alumni, 6 working outside, 4 women achievers, 2 entrepreneurs)
- Scale: expanded **DDU-GKY** with better trainee support
- Accelerate: **World Skill Centre, Bhubaneswar** — international collaboration

Global

- **Singapore**: track employability and wage effects
- **Germany/Switzerland**: employers in curriculum design, workplace learning, assessment
- **Korea**: periodic review — prune weak, expand effective

16. Apprenticeships

- **PM-NAPS + NATS**: 43.47 lakh apprentices across 36 states/UTs, 51,000 establishments
- Female participation: ~20%

- **NATS**: 5.23 lakh apprentices in FY25
- **NAPS 2.0**: stipend via DBT
- Gap: only 6,100 enterprises active vs 5.2 lakh SMEs registered
- **NAPS** and **NATS** under different ministries → **fragmented governance**

Way Forward

- **Unified apprenticeship framework**
- **District Skill Committees** for outreach
- **MSME cluster models**
- Expand into **green jobs, logistics, digital services, gig-linked sectors**
- **Insurance, travel, accommodation support**
- **Recognition of Prior Learning under PMKY**

17. Vocational Education

Gaps (Highlighted)

- **Late exposure to skills**
- **PARAKH 2024**: 47% schools, participation 29%
- **Academic bias**, **Weak industry connect**, **Skill mismatch**, **Limited mobility across pathways**

What India Is Doing

- **Samagra Shiksha**: **vocational learning** + general education
- **CBSE**: **Kaushal Bodh** textbooks (Grades VI-VIII) from 2025-26
- **National Credit Framework** — credit transfer across academic/vocational/work-based
- **SWAYAM Plus** — AI, data analytics, robotics
- **STARS programme** (World Bank): MP Skill GPS, Rajasthan Career Ed, Maharashtra Career Portal
- Global: **South Korea's "Job First, University Later"**

18. PM Internship Scheme

- Aims: **1 crore internships** in **top 500 companies** over 5 years (Budget 2024-25)
- Age: **21-24 years**; Qualification: **Class 10+**; Duration: **12 months**
- Stipend: **₹5,000/month** + **one-time grant ₹6,000**
- Insurance: **PM Jeevan Jyoti Bima Yojana** + **PM Suraksha Bima Yojana**
- Excluded: income above **₹8 lakh**, elite institutions, govt employees' families
- Pilot: **1.65 lakh offers**; acceptance < **one-third**
- Mismatch in **location, role and duration**

ULTRA REVISION SHEET — Most Testable Facts

Key Numbers

98 crore	Working-age population (next 10 yrs)
363 vs 123 mn	Female vs male unpaid work/day
475 mn jobs	Care sector globally by 2030
2% GDP → 11 mn jobs	Care investment; 70% to women
15-17% GDP	Value of unpaid care work
77L → 120L (55%↑)	Gig workers FY21 → FY25
6.7%	Gig share of workforce by 2029-30
40%	Gig workers earning <₹15K/month
29 laws → 4 codes	Labour law consolidation
60.4% → 75.5%	Formalisation post labour codes
₹75,000 cr	Boost to aggregate consumption
31 crore	Workers on eShram; 54% women
77% vs 22%	Small vs large factories (by number)
21% vs 79%	Small vs large factory employment
7 states = 60%	Manufacturing employment
43.47 lakh	Apprentices under PM-NAPS
56.3%	Youth employability rate
1 crore	PM Internship target (5 yrs)

Mnemonics

Silver Economy 5 Pillars (DRAFT): **D**igital literacy, **R**eskilling, **A**ssisted living, **F**lexible jobs, **T**rained caregivers

Gig Challenges (IACLT): **I**ncome uncertainty, **A**lgorithmic control, **C**redit exclusion, **L**imited skilling, thin-file credit (**T**)

Labour Code 4 (WIOC): **W**ages 2019, **I**ndustrial Relations 2020, **O**ccupational Safety 2020, **S**ocial Security (**CSS**) 2020

Skilling Fixes (OPELU): **O**utcome-based, **P**lacement services, **E**mployer partners, **L**ocal intelligence, **U**ppgrade ITIs

Female LFPR Barriers (STAMP): **S**TEM gap, **T**ransport/Pink Tax, **A**ffordable housing, **M**obility constraints, **P**ink tax on commuting

Worker Well-being 3D: **F**inancial (EWA), **M**ental (Buddy System), **P**hysical (SRH Training)

Handwritten Annotations

- Silver Economy: NCD screening → Preventive → Geriatric Healthcare → Treatment; Flexible jobs + 2nd career; Digital & financial reskilling; Assisted living tech; Access in public space
- Time Use Survey → Caregiving → Women → Dual Burden → Need Monetize Care → go for flexible jobs → LFPR
- LFPR: STEM, Pink tax on mobility, Gender Responsive Infra, Safe Rental, Skilling (Back to Work / Return Prog), SHG → MSME, Labour Code (LFPR/Equal Pay/Maternity/Creche), Behaviour change
- Output Vs Outcome (skilling focus)
- 60% in 7 states (manufacturing)